CO/NRO/1623/366 /2010

BEFORE THE SECURITIES AND EXCHANGE BOARD OF INDIA, MUMBAI

CONSENT ORDER

ON THE APPLICATION SUBMITTED BY

M/s. MANOJ SARNA & Co.
MEMBER: LUDHIANA STOCK EXCHANGE LIMITED
SEBI REGISTRATION No.INB 120767312

IN THE MATTER OF
M/s. CLASSIC GLOBAL IMPEX LIMITED
(Now known as M/s. DEVINE IMPEX LIMITED)

(CONSENT APPLICATION NO.1623/2009)

1. Securities and Exchange Board of India (SEBI) conducted investigations into the trading in the scrip of M/s. Classic Global Impex Ltd. (hereinafter referred to as 'Classic'). These investigations, *prima facie,* revealed that certain Ludhiana Stock Exchange (LSE) members/brokers including M/s. Manoj Sarna & Co. (hereinafter referred to as 'the applicant'), located at 15-B, Link Road, Model Town, Jalandhar, had during the period 1997-1999 committed certain irregularities in issuing contract notes to their clients on the basis of which the clients claimed capital gain/losses from Income Tax Authorities. Therefore, it was alleged that the applicant by facilitating fictitious trades had failed to maintain high standards of integrity, promptitude and fairness in the conduct of its business and thereby violated the provisions of Clause A(1) of Code of Conduct prescribed under Schedule II of the SEBI (Stock Brokers and Sub-brokers) Regulations, 1992 read with Regulation 7 of the said Regulations.

2. Pursuant to the said investigations, SEBI initiated enquiry proceedings under SEBI (Procedure for holding Enquiry by Enquiry